WEEK 10 · LECTURE L1 · UNIT IV

The Gig and Platform Economy

How platform work works, who it serves, and India's emerging legal frame.

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DSEH001 · Digital Transformation in Human Resource Systems · M.Com. PGCF 2025 · Exam preparation edition

AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

- Describe the scale of India's gig and platform economy and the legal frame now emerging.
- Explain why work moves outside the firm, using Coase and Atkinson.
- Analyze precarity and tiered inequality among platform workers.
- Evaluate NITI Aayog's RAISE approach and the Code on Social Security 2020.

COURSE OUTCOMES

CLO 1 and CLO 5 (future of work; ethics and fairness).

Scale, and the legal frame now emerging

Source	What it says
NITI Aayog (2022)	About 7.7 million gig workers in 2020 to 21, projected to reach about 23.5 million by 2029 to 30; workers classified as platform or non-platform
Code on Social Security, 2020	Recognizes gig and platform workers; registration (Section 113) and schemes partly funded by aggregators: 1 to 2 percent of annual turnover, capped at 5 percent of payouts to these workers (Section 114)
Rajasthan Act, 2023	First state law dedicated to platform workers: registration with a unique ID, a welfare board, and a welfare fund financed by a fee on transactions

EXAM LENS

The Indian frame now has national, state and platform layers. Strong answers compare the national and state models.

TIERED PLATFORM WORK

How incentive tiers create unequal lives

Earnings

Lower-tier partners typically earn substantially less, because allocation algorithms send them fewer orders.

Protection

Enrollment in social security schemes is often lowest where earnings are lowest.

Voice and exit

Lower tiers tend to raise more grievances and leave more often; without a grievance route, exit becomes the only voice.

EXAM LENS

Compare tiers on earnings, protection and churn, and ask what the allocation algorithm rewards. Measure gaps in percentage points, not percent.

THEORY IN DEPTH · COASE (1937)

Why firms exist, and why work leaves them

THE CORE IDEA

Firms hire people when coordinating work inside costs less than buying it in the market.

HOW IT WORKS

Platforms cut the cost of market coordination, so more work moves outside the firm.

LIMITS AND CRITIQUE

Transaction costs are hard to measure, and power, not only cost, shapes the boundary of the firm.

IN PRACTICE

Delivery partners sit outside the employee master file by design, so their protection depends on law, not on HR policy.

EXAM LENS

Use Coase to explain why platform work exists, then show why efficiency alone cannot justify the resulting risk shift.

THEORY IN DEPTH · ATKINSON (1984)

The flexible firm: core and periphery

THE CORE IDEA

Firms keep a stable core of skilled staff and a flexible periphery of temporary, part-time and contracted workers.

HOW IT WORKS

Functional flexibility in the core; numerical flexibility in the periphery.

LIMITS AND CRITIQUE

Critics argue it described a managerial intention more than a widespread reality.

IN PRACTICE

Gig delivery partners are a retailer's numerical periphery; the risk is a two-class workforce.

EXAM LENS

Link Atkinson to Lepak and Snell (1999) on matching employment modes to skills.

THEORY IN DEPTH · KALLEBERG (2009)

Precarious work is a choice of design

THE CORE IDEA

Precarious work is uncertain, unstable and insecure, with risks shifted from employer to worker.

HOW IT WORKS

Driven by global competition, weaker unions and technology that eases outsourcing.

LIMITS AND CRITIQUE

Precarity varies by country, skill level and welfare system.

IN PRACTICE

Volatile earnings and no health cover make lower-tier platform workers precarious by design, not by chance.

EXAM LENS

Frame precarity as a design outcome; this moves an answer from description to critique.

THEORY IN DEPTH · NITI AAYOG (2022)

RAISE: operationalizing social security for gig workers

THE CORE IDEA

The report proposed a five-pronged RAISE approach for implementing the Code on Social Security 2020.

HOW IT WORKS

Recognize the varied nature of platform work; Allow innovative financing; Incorporate platform and worker interests; Support workers; Ensure benefits are accessible.

LIMITS AND CRITIQUE

A policy proposal; implementation depends on central and state rules and on platforms, and unions criticized limited consultation.

IN PRACTICE

An employer using platform workers can apply the "Ensure accessible benefits" prong directly, for example by assisting registration.

EXAM LENS

Present RAISE as a policy proposal and note its critics; do not present it as law.

PRACTICE FOR THE END-TERM EXAMINATION

Questions to rehearse

"Platform work is a choice of design, not an accident of technology." Critically evaluate using Coase, Atkinson and Kalleberg, with reference to India. **20 marks**

A strong answer: explains the transaction-cost logic; core and periphery; precarity as risk shift; uses NITI estimates and the Code on Social Security.

Compare the Code on Social Security 2020 and the Rajasthan Act 2023 as approaches to protecting platform workers. **20 marks**

A strong answer: compares coverage, funding (turnover levy versus transaction fee), registration and voice; evaluates strengths and gaps.

What is NITI Aayog's RAISE approach? **10 marks**

A strong answer: names the five prongs and notes its status as a proposal.

CARRY THESE INTO THE EXAMINATION

Three things to remember

1. **Gig work sits outside the firm by design, and outside most HR dashboards**
2. **India's frame has national, state and platform layers**
3. **Lower tiers earn least, are least protected, and leave most**

SET READINGS · FROM THE LESSON PLAN

Read for this lecture

- NITI Aayog (2022). *India's Booming Gig and Platform Economy*.
- The Code on Social Security, 2020, Sections 113 and 114; the Rajasthan Platform Based Gig Workers Act, 2023.

COMPANION

Each set reading is explained in the matching Unit Reader on rksingh.tech/materials.

THEORY SOURCES · FOR REFERENCE

Sources for this lecture

Works named on the slides of this lecture. They are background sources, not set readings.

Atkinson, J. (1984). Manpower strategies for flexible organisations. *Personnel Management, 16*(8), 28–31.

Coase, R. H. (1937). The nature of the firm. *Economica, 4*(16), 386–405. https://doi.org/10.1111/j.1468-0335.1937.tb00002.x

Government of India. (2020). *The Code on Social Security, 2020* (Act No. 36 of 2020), Sections 113 and 114.

Government of Rajasthan. (2023). *The Rajasthan Platform Based Gig Workers (Registration and Welfare) Act, 2023*.

Kalleberg, A. L. (2009). Precarious work, insecure workers: Employment relations in transition. *American Sociological Review, 74*(1), 1–22. https://doi.org/10.1177/000312240907400101

NITI Aayog. (2022). *India's booming gig and platform economy: Perspectives and recommendations on the future of work*. Government of India.